AMENDMENT NO. 1 TO THE MASTER SERVICES AND PURCHASING AGREEMENT BETWEEN THE CITY OF SAN MATEO AND AXON ENTERPRISE, INC. FOR HARDWARE, SOFTWARE AND SERVICES FOR THE POLICE DEPARTMENT (Original Amount: $7,350,052.13; New Amount $8,495,312.58)

This Amendment is made and entered into this ____ day of October, 2026, by and between the CITY OF SAN MATEO, a municipal corporation existing under the laws of the State of California ("CITY"), and AXON Enterprise, Inc. ("CONTRACTOR").

WHEREAS, the City and CONTRACTOR entered into a Master Services and Purchasing Agreement for Hardware, Software and Services for the Police Department ("Agreement") on December 10, 2024; and

WHEREAS, City and CONTRACTOR wish to amend the Agreement to purchase automated license plate readers (ALPR); to include security and privacy language applicable to access to Criminal Justice Information Services (CJIS) material; to require compliance with applicable California law prohibiting vendors from disclosing ALPR data to unauthorized third parties; and to set forth requirements for disclosure in the event of a security breach.

NOW, THEREFORE, the parties agree as follows:

1. Exhibit D detailing Quote Q-865809-009 is added to the Agreement.

2. Section 17 – "Termination" of the Agreement is amended to add:
   17.5 – **Applicability**. These terms do not apply to Quotation Q-865809-009, which may be terminated in accordance with the terms specified on the quotation itself.

3. Section 20 – "Security" is added to the Agreement to read:
   20.1 **California Civil Code Compliance.** Contractor is advised of, and agrees to comply with, the requirements of the California Civil Code, Division 3, Part 4, Title 1.81.23 COLLECTION OF LICENSE PLATE INFORMATION [§§1798.90.5 - 1798.90.55] as applicable to an automated license plate recognition (ALPR) operator. To the extent the ALPR services involve the collection, access to, storage, use, or disclosure of ALPR information on behalf of the City, Contractor shall maintain reasonable security procedures and practices appropriate to the nature of such information and consistent with applicable law and the security and privacy requirements otherwise applicable to the services under this Agreement. Contractor shall maintain compliance with applicable Criminal Justice Information Services (CJIS) Security Policy requirements.

   20.2 **Disclosure of Security Breach.** Contractor is advised of the requirements of the California Civil Code, section 1798.29, requiring notification to any resident of California in the event of breach of the security of the system. Contractor agrees it will notify the City immediately (and in no event more than 48 hours) upon the known occurrence of any breach in the security of data that may potentially trigger the need for security breach notifications pursuant to Civil Code section 1798.29 or similar State or Federal law.

4. The following Axon Device Specific Terms and Conditions are added to the Agreement as under the Axon Fleet Appendix follows:

   a. **Axon Outpost.**

      i. Installation. Contractor shall be responsible for initial installation of all Axon Outpost devices and associated equipment provided under this amendment. Contractor shall coordinate with Customer regarding the location and scheduling of installation and shall provide all labor, tools, equipment, mounting hardware, configuration, and all other services reasonably necessary to install, configure, and place the devices into operational service at locations designated by the Customer. Unless otherwise expressly stated in the Amendment, all costs associated with the installation and configuration of the devices shall be included in the fees and shall be at no additional cost to the City. Customers will obtain, maintain all legally required permits, authorizations, and/or licensing in order to place, maintain, and/or remove the Axon Outpost device at the installation location, including licenses or permits for fixed installation of poles. If mutually agreed by the Parties, Axon or an Axon authorized subcontractor may assist with obtaining the necessary local, state, or Federal approvals before installing Axon Outpost.

      ii. Vandalism or Motor Vehicle Accident Warranty. If Customer purchases the Vandalism and Accident warranty, Axon will provide up to two (2) replacements per warranty purchased if your Outpost is damaged due to vandalism or a motor vehicle accident. Axon will make a commercially reasonable effort to provide new installation free of charge, but installation may require additional cost. Axon does not provide refunds or credits if the warranty is not used during the Term f the Quote.

5. The remaining terms of the MSPA remain in full force and effect.

IN WITNESS WHEREOF, CITY OF SAN MATEO and AXON ENTERPRISE, INC. have executed this Agreement the day and year as indicated below.

CITY OF SAN MATEO

CONTRACTOR: AXON ENTERPRISE, INC.

Ed Barberini Date
Chief of Police

Robert Driscoll Date
Deputy General Counsel

APPROVED AS TO FORM

Bahar Abdollahi Date
Assistant City Attorney